

Investment Banking Workshop Questions

UK Retail Bank Ringfencing Has Not Damaged Sector, Treasury Review Find

Discussion Questions

1. What is the purpose of the UK's ringfencing regime, and how does it affect investment banking operations?
2. According to the Treasury review, what were the main findings regarding the impact of ringfencing on bank competitiveness and the mortgage market?
3. What challenges and policy considerations arise from maintaining or adjusting the ringfencing threshold (currently £25bn in deposits)?
4. Some argue that ringfencing makes banks safer but less competitive, while others claim it only adds bureaucracy without preventing future crises. In your view, does ringfencing strike the right balance between financial stability and market efficiency? Why or why not?

Investment Banking MCQs

1. What is the primary role of an investment bank in the primary market?
 - A) Trading existing securities
 - B) Accepting retail deposits
 - C) Underwriting and issuing new securities
 - D) Managing pension funds
2. When an investment bank acts as a market maker, it primarily:
 - A) Guarantees deposits
 - B) Provides liquidity by buying and selling securities
 - C) Issues new shares
 - D) Regulates capital markets
3. In an IPO, the underwriter's main responsibility is to:
 - A) Set the interest rate

- B) Purchase and resell new shares to investors
- C) Supervise stock exchange listings
- D) Provide retail brokerage services

4. Equity research departments in investment banks mainly:

- A) Monitor government spending
- B) Produce reports with investment recommendations
- C) Collect customer deposits
- D) Issue corporate bonds

5. Which function typically earns income through management fees and portfolio commissions?

- A) Proprietary trading
- B) Asset management
- C) Underwriting
- D) Equity sales

6. The difference between the bid and ask price in trading is known as:

- A) Market spread
- B) Liquidity ratio
- C) Discount rate
- D) Exchange margin

7. Proprietary trading involves:

- A) Trading client funds
- B) Trading the bank's own funds for profit
- C) Supervising public listings
- D) Advising regulators

8. What is a key risk of proprietary trading?

- A) Loss of client deposits
- B) Conflicts of interest and high financial exposure
- C) Market transparency
- D) Liquidity support

9. Investment banks differ from retail banks because they:

- A) Provide personal savings accounts
- B) Deal mainly in securities and corporate finance
- C) Offer consumer credit
- D) Are government-owned

10. Which of the following is an ethical issue in investment banking?

- A) Providing loans to small businesses
- B) Insider trading and misuse of confidential information
- C) Offering research reports
- D) Setting interest rates

11. What does a “Chinese Wall” in banking refer to?

- A) A risk management system
- B) A barrier separating advisory and trading teams to prevent conflicts
- C) A type of derivative product
- D) A government regulation from China

12. Front-running is considered unethical because it involves:

- A) Delaying client orders
- B) Trading ahead of client orders for profit
- C) Ignoring market news
- D) Mispricing assets

13. The “Volcker Rule” was introduced primarily to:

- A) Prevent proprietary trading by commercial banks
- B) Encourage investment in derivatives
- C) Allow mixing of retail and investment operations
- D) Remove capital adequacy requirements

14. Ring-fencing in UK banking refers to:

- A) Separating retail banking from investment banking
- B) Merging commercial and investment operations
- C) Restricting cross-border lending
- D) Regulating insurance companies

15. The purpose of ring-fencing is to:

- A) Increase profit margins
- B) Protect retail customers from investment banking risks
- C) Reduce lending to small businesses
- D) Encourage offshore trading

16. Which legislation introduced ring-fencing in the UK?

- A) Financial Services Act 2000
- B) Banking Reform Act 2013
- C) Companies Act 2006
- D) Financial Stability Act 2008

17. Which investment bank earned the highest total fees in 2025 year-to-date?

- A) Goldman Sachs & Co
- B) JP Morgan
- C) Morgan Stanley
- D) BofA Securities Inc

18. Which industry generated the highest total investment banking fees globally as of August 2025?

- A) Industrials
- B) Financials
- C) Energy and Power
- D) High Technology

19. Which of the following is a primary source of funding for investment banks?

- A) Retail customer deposits
- B) Government tax revenues
- C) Wholesale market borrowing and repo agreements
- D) Tuition fees from financial training programmes

20. Investment banks typically obtain most of their funding from

- A) Local branch savings accounts
- B) Short-term market financing and issuing debt
- C) Central bank grants
- D) Customer mortgage payments

21. Founded by J.P. Morgan in 1871, which major event led to the creation of Morgan Stanley as a separate investment bank?

- A) The Banking Panic of 1907
- B) The 1895 U.S. Treasury gold rescue
- C) The Glass-Steagall Act of 1935
- D) The merger with Chase Manhattan Bank

22. What major structural change did Goldman Sachs undergo during the 2008 financial crisis?

- A) It was acquired by JPMorgan Chase
- B) It merged with Morgan Stanley
- C) It converted into a bank holding company
- D) It was nationalized by the U.S. government

23. Which year did J.P. Morgan merge with Chase Manhattan Bank to form JPMorgan Chase?

- A) 1995
- B) 2000
- C) 2008
- D) 2010

24. Goldman Sachs managed its first IPO in 1906 for which company?

- A) General Electric
- B) Sears, Roebuck and Co.
- C) Ford Motor Company
- D) IBM

25. What is one criticism raised by international banks about the UK's ring-fencing regime?

- A) It encourages foreign investment
- B) It limits competitiveness and flexibility
- C) It eliminates compliance requirements
- D) It increases capital mobility